

Product Teardown

New User Onboarding



Product Overview: Zepto

Founded In 2021

Business model:

It leverages a hyper-local business model to quickly deliver high-demand essentials through its app.

Actors Involved:

End Customers, Vendors, Brand Partners, Delivery Partners, Advertisers & Investors

Revenue streams:

- Margins on products
- Handling/Packaging Charges
- Delivery Charges/Fees
- In-App Advertisements
- Vendor Partnerships
- Subscription Services
- Zepto has also introduced a cafe offering that allows customers to order Coffee, Chai, and other Café items, along with their groceries [9]

Positioning:

Groceries delivered at the lowest prices in just 10 minutes —

India's **fastest** and **most convenient** service for urban dwellers, offering **fresh products** powered by **cutting-edge technology** and **efficiency**

Competitive landscape [8]:



Target User Segment:

1. Busy Professionals
2. Households
3. Young Adults & Students
4. Wellness-Focused Consumers

Numbers at a glance:

- A. ~300 Dark Stores [2]
- B. \$5 Billion Valuation [1]
- C. 50 M+ Downloads [3]
- D. Average Order Value is ~₹430-₹470 [4]
- E. \$100 Million ARR+ [5]
- F. 1,700 to 1,800 employees [6]
- G. ~600,000 deliveries per day [7]

Why is Zomato ahead?

Larger order volume, faster delivery times, & extensive store network
With competitors like Flipkart Minutes and BBNOW entering the market, the race for long-term leadership is ON

[1] Malhotra, S., & V. A. (2024, August 30). Zepto races to \$5 billion valuation with a \$340 million fundraise, targets IPO in 12-24 months - CNBC TV18. <https://www.cnbctv18.com/business/startup/zepto-usd-5-billion-valuation-usd-340-million-fundraise-ipo-in-12-24-months-19467957.htm>

[2] Ashokan, A. K. (2024, June 17). Zepto to diversify from groceries into higher value items, looks to set up bigger outlets - Hindustan Times. <https://www.hindustantimes.com/business/zepto-to-diversify-from-groceries-into-higher-value-items-looks-to-set-up-bigger-outlets-101718617108573.html>

[3] Google. (n.d.). Zepto: 10-min grocery delivery* - apps on Google play. Google. https://play.google.com/store/apps/details?id=com.zeptoconsumerapp&hl=es_419

[4] Desk, U. N. (2024, November 8). Who's leading the Quick Commerce Market in India? A deep dive into Zomato, Swiggy and Zepto. Trading - Online Share Market Trading App in India - Best Stock Trading Platform. <https://upstox.com/news/market-news/stocks/who-s-leading-the-quick-commerce-market-in-india-a-deep-dive-into-zomato-swiggy-and-zepto/article-127068/>

[5] Team, G. E. (2024, August 26). Zepto Business Model & Growth Strategy - GROWTHX DeepDive. & Growth Strategy - GrowthX DeepDive. <https://growthx.club/blog/zepto-business-model/#f69d9862090544239b470c787401f04e>

[6] Singh, R. (2024, August 6). Zepto to shift headquarters to Bengaluru, mandates employees to relocate. Business Standard. https://www.business-standard.com/companies/news/zepto-to-shift-headquarters-to-bengaluru-mandates-employees-to-relocate-124080600791_1.html

[7] Standard, B. (2024, July 17). On its 3rd anniversary, Zepto logs highest-ever order volume at 750k. Business Standard. https://www.business-standard.com/companies/start-ups/on-its-3rd-anniversary-zepto-logs-highest-ever-order-volume-at-750k-124071700890_1.html

[8] Image courtesy Groww's WhatsApp Channel
[Zepto's linkedIn Page: <https://www.linkedin.com/company/zeptonow/about/>]

Targeted User Persona

Name: Samita Sani



Key Motivations:

- Simplify household management
- Save Time & Energy
- Ensure Family receives fresh, nutritious meals without stress

Demographic Overview:

- **Location:** New Delhi, Delhi
- **Age:** 40
- **Occupation:** Senior Manager at an MNC
- **Education:** Undergraduate Degree in Business Management
- **Family Background:** Married with two children (aged 8 and 12), lives in a middle-upper-class urban neighborhood
- **Role:** Decision-maker and primary shopper for the household

Psychographics: Lifestyle & Behavior:

- Embraces convenience-driven services for daily tasks
- Prioritizes health and wellness for herself and her family
- Shops online for groceries at least twice a week, often during work breaks or in the evening
- Has high expectations for quick delivery and precise order fulfillment

Relationship with Product:

By addressing Samita's multifaceted needs—balancing speed, quality, trust, and personalization—**Zepto** can position itself as an indispensable part of her routine

Pain Points:

1. Unpredictable Schedules
2. Order Inaccuracies
3. Overwhelming Options
4. Delivery Delays
5. Health Concerns

Core Needs:

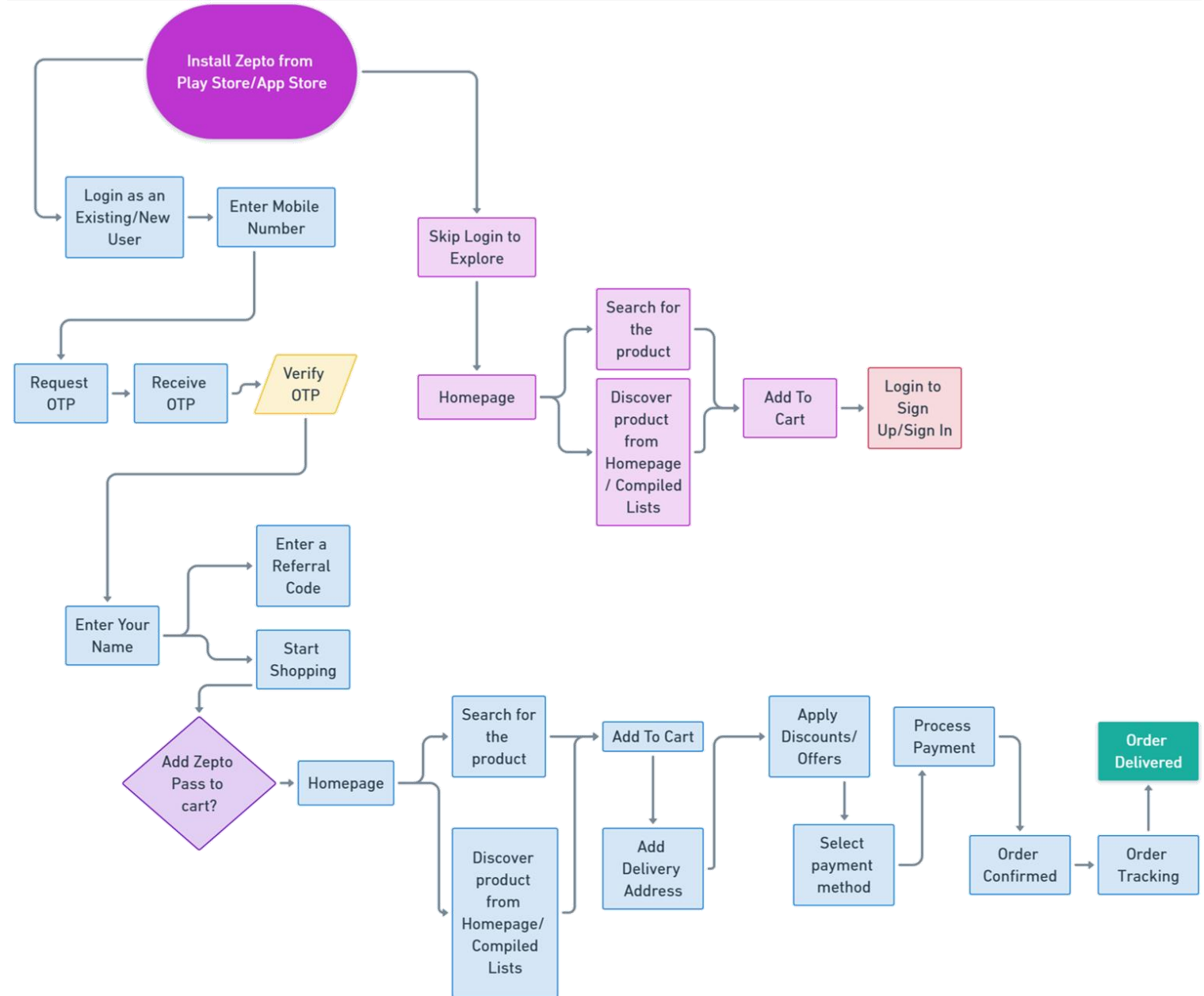
1. Convenience
2. Freshness and Quality
3. Speed and Efficiency
4. Trust and Reliability
5. Personalized Experience

Triggers:

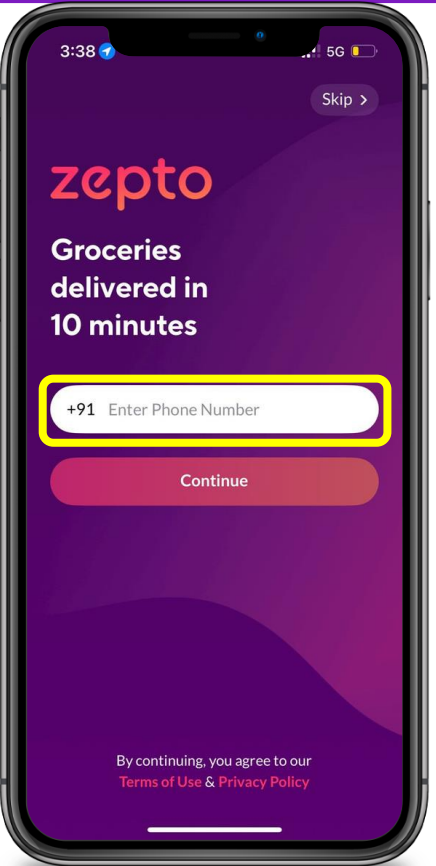
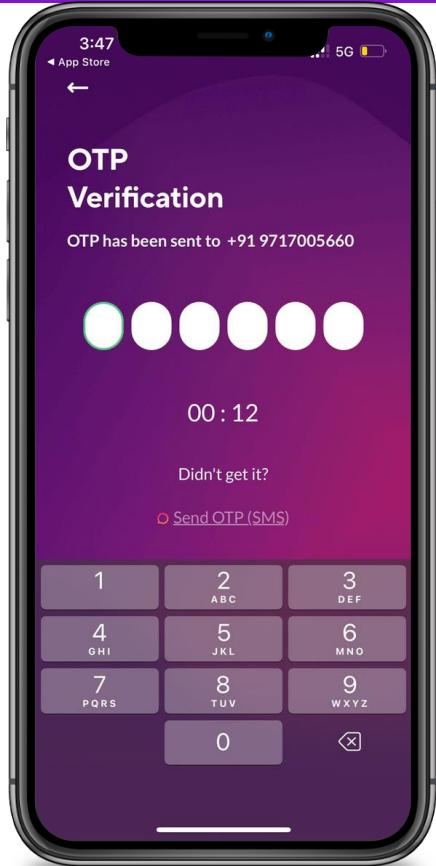
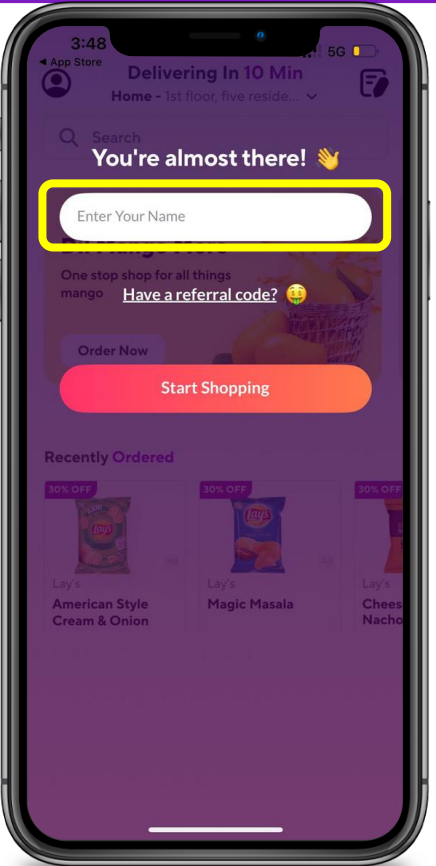
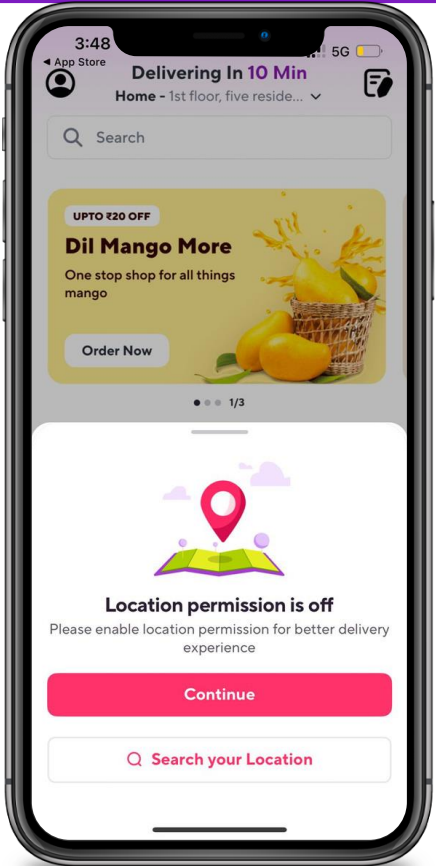
- Weekly grocery restocks
- Health-conscious decisions
- Urgent needs during impromptu gatherings or unexpected shortages

User journey mapping:

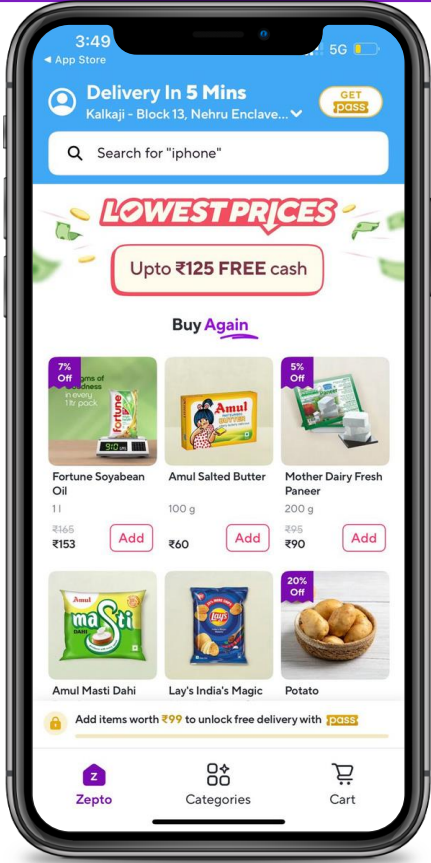
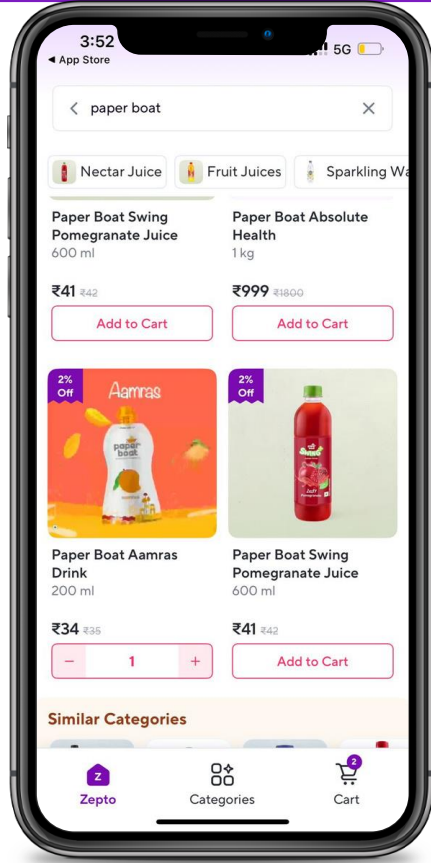
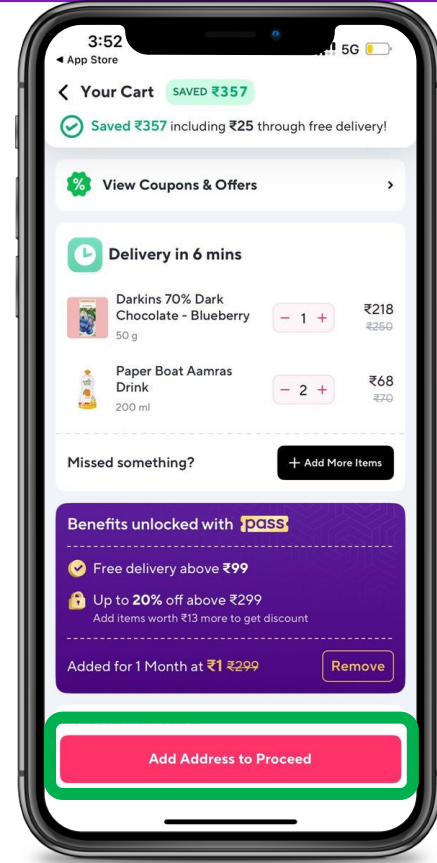
Onboarding User Flow



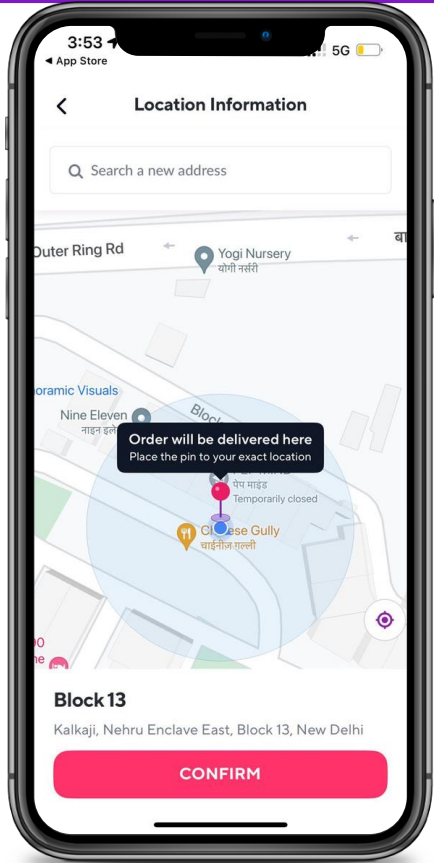
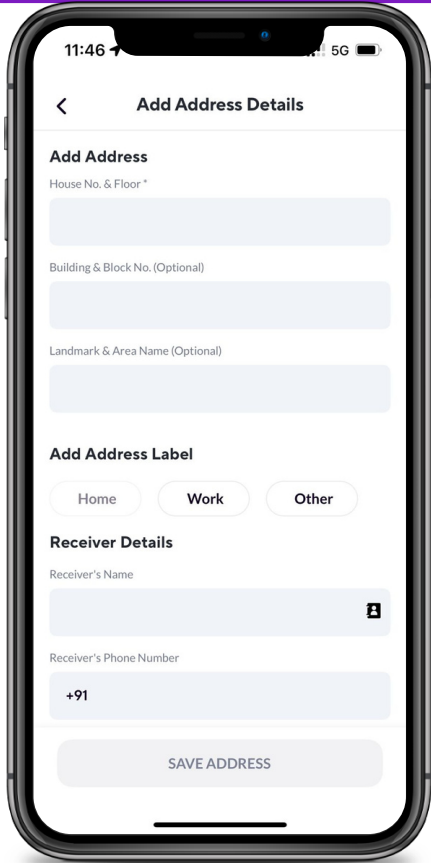
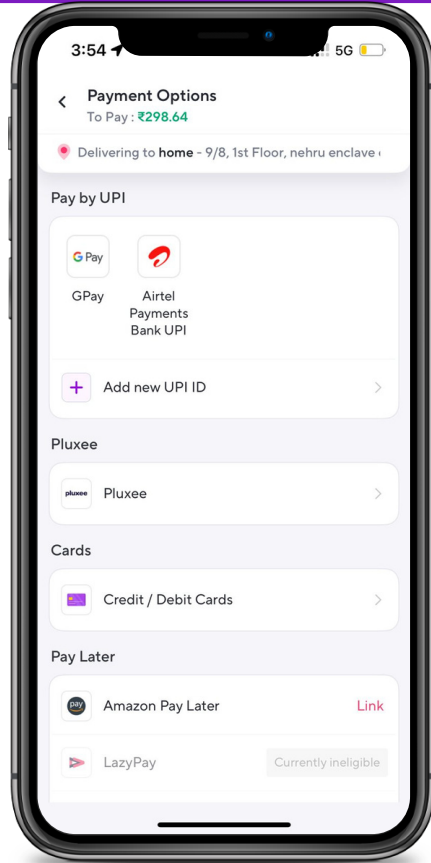
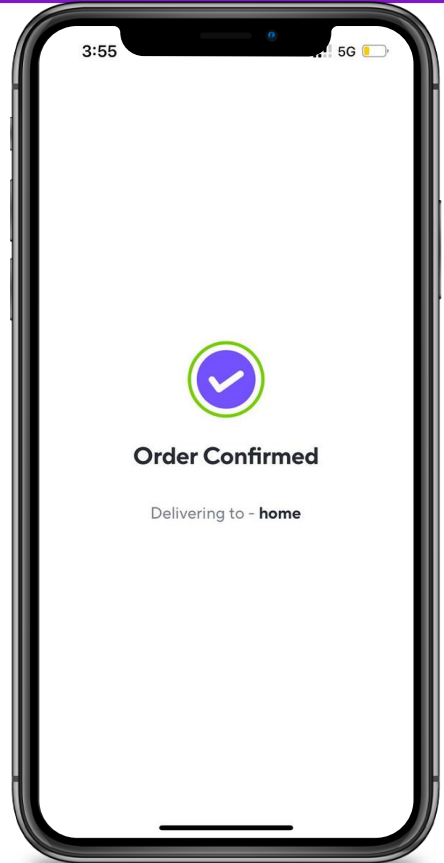
User Experience: Onboarding User Flow (1/4)

Stage	Visit App	OTP Verification	Setup 1/3	Setup 2/3
Screens				
Steps	Open App and Enter & Submit Mobile Number to Register Account	Enter OTP received on your registered mobile number	Enter your name to continue shopping Note: This step is NOT skippable	For a first-time user, Provide permission to location access
Moods	Neutral, as user wants to place order quickly 😐		Annoyed by the constant requests for information 😞	

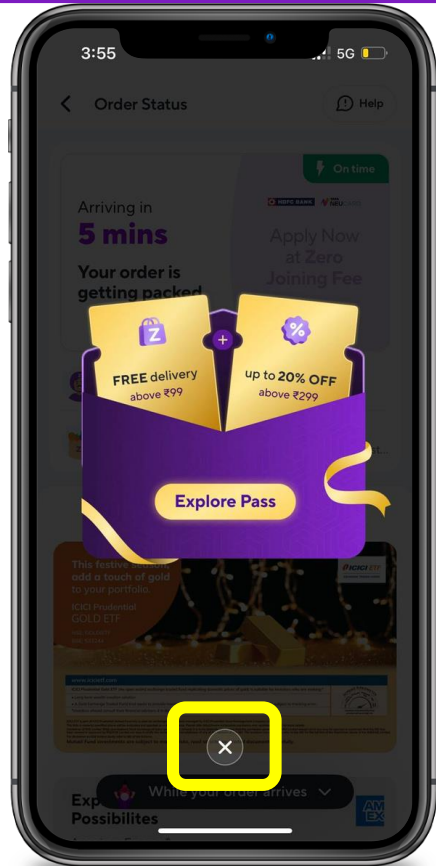
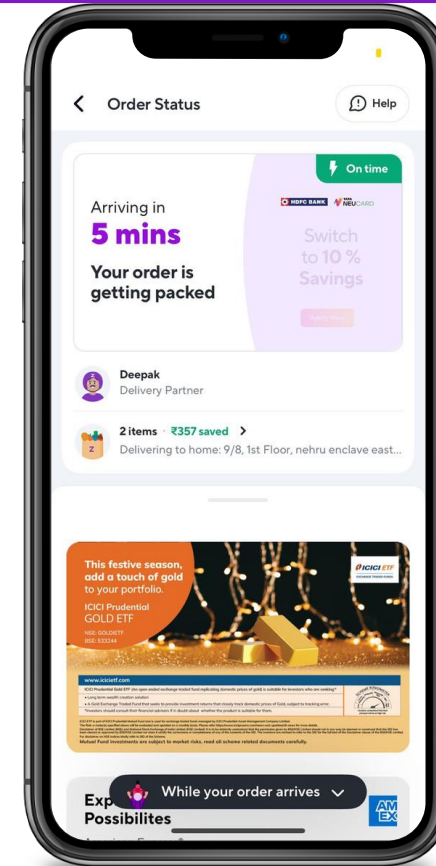
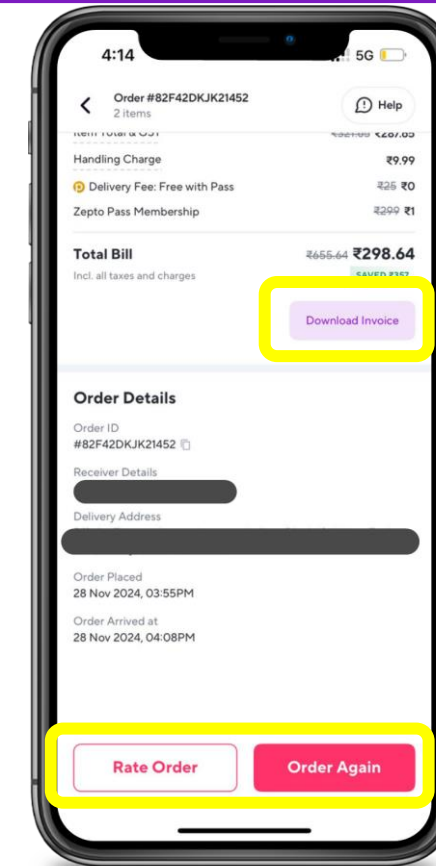
User Experience: Onboarding User Flow (2/4)

Stage	Promotion #1	Discover	Add To Cart	Order Review
Screens				
Steps	Pop Up Promotion upon logging in, considers and adds pass to cart	Discover the product range or search for the products you want to buy	From the search results, select item by clicking on 'Add To Cart'	Review items, add last minute products, check delivery time to proceed
Moods	Curious to know what this promo is 🤔	Excited to start shopping 😍	Stoked, After finding items to add to Cart 😊	Excited, to be 1 step closer to order 😍

User Experience: Onboarding User Flow (3/4)

Stage	Setup 3/3	Add Delivery Address	Payment Details	Order Confirmation
Screens				
Steps	Drop the pin on the map to zoom in on the closest area and confirm	Fill in the specifics of the delivery location and the receiver's details	Select and proceed with payment options Note: Cash is NOT an option for the first time buyer	Once payment is successful, Order Confirmation is provided
Moods	Neutral, as wants to finish providing information quickly 😐	Excited, to be almost done 😍	Happy, As Order is confirmed 😊	

User Experience: Onboarding User Flow (4/4)

Stage	Promotion #2	Promotion #3	Order Tracking	Order Delivered
Screens				
Steps	Pop Up to share cashback to encourage repurchase Note: The validity is same day for this use of this amount	Pop Up to help user discover 'Zepto Pass' subscription benefits	Order updates to track delivery, contact delivery partner and explore offers	On delivery, details are displayed with CTAs to rate or reorder
Moods	Happy, to receive promo Cashback 😊	Annoyed, to get another pop-up delaying review 😡	Excited, to be able to finally review Order Status 🥰	Content, on finally receiving the order 😊

Key Aha Moments from User Experience

The Upsides

- **Sign Up = Login**, with a simple & easy **OTP based process**
- **Skippable Sign Up/Login** that allows users' to checkout the available stock without commitments
- Sign Up/Login process takes **less than 30 seconds** to complete with a **2-step** (minimum) process
- **Two value promoting** offers touchpoints during the first purchase
- **3 main CTAs**, post order delivery, are available right on the screen – Rate Order, Order Again and Download Invoice buttons

Feedback captured from App Store and Play Store

N Nilofar Khan

★★★★★ 22/11/24

I recently start using this app after delivering a baby. And I found it very useful for ordering vegetables and other products because delivery is super fast. I also tried zepto caffe and it's amazing. Food quality is up to the mark I can say . It's chicken puff , moong daal halwa and other bakery products. May be am going to use this app for my future orders. Thanks !

69 people found this helpful

Zepto experience

★★★★★ Sat · Guddu 🥰

Today My first experience on zepto .. that was good experience for online shopping for groceries and all the item .. products are good and neatly packed and good quality 🙌 my first experience was good ..

User Feedback:

- **Eureka moments** with all the **time saved**, **reduced stress** of picking out produce and **energy-saved** by not having to deal with vendors
- **Expanding** into their **Café segment** has clearly agreed with them as users are excited and satisfied with the **availability of fresh ready to consume foods**, giving competition to Swiggy and Zomato with an early entry into fresh goods

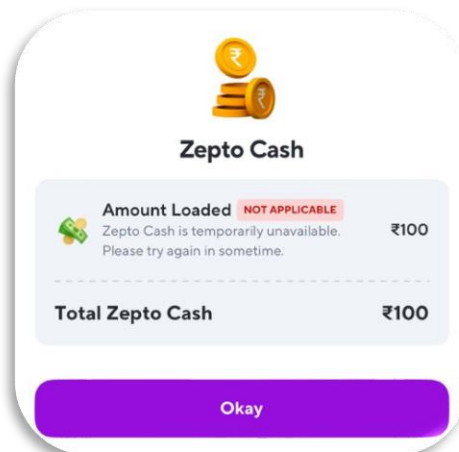
Key Challenges from User Experience

The Downsides

- Adding your name is a **mandatory step**, causes confusion as it's **not explicitly mentioned** – Only notified when you **see the error message** when you **try to skip it**
- **Back-to-back pop-up promotions** appear post order placement – delaying the order status review
- The **first Zepto cash credited** has **same day validity** – which is **not mentioned** anywhere on the promotion
- **Cash is NOT** an option for the **first time buyer**

User Feedback:

- There are **issues with relaying critical information** as after adding money to their **Wallet or Zepto Cash** – It is also **not clearly mentioned** while trying to place an order as to **WHY it cannot be used**
- The same has culminated in their **customer support practices**, which has led to a lot of **users being frustrated** as they **do not feel heard or valued** when facing issues



Screenshot from Zepto App

Feedback captured from App Store and Play Store



Refund and payment related issues

★★★★★ Thu · Megumain

To be very honest as customer I made my first purchase which was smooth and fine

But then I made purchase 2 days ago and I am waiting for my refund as they said 3-5 working days but I just can't understand y can't you mention clear information I am really disappointed I don't see my money coming in anywhere really not happy with this other wise cod is a good option I must say THANKS 😊

Key Learnings and Recommendations:

The Learnings

- **Keep things simple:**
By enabling OTP based login and sign up and keeping the steps as minimum as possible
- **Keep things basic:**
All basic categories and products are available on the app that appeal to the top 20% of their target audiences that are responsible for 80% of their revenue
- **Provide strong hooks:**
The 1 re. Zepto Pass for a month or free cashback for the first few orders or to motivate users to return and create touch points within the user journey

The Recommendations:

- **Highlight** that providing a **name is a mandatory** step to avoid confusion
- Provide **reasons** for **not allowing** users to use the **Zepto Cash** they willingly added to their wallet – within **the pop up, FAQs** and **Chat support**
- **Post order placement**, the **ETA** was displayed at **5 minutes**, but the **order delivered** in **13 minutes** – a common issue noticed in customer feedbacks – **providing coupons, sharing a realistic timeline** while **owning delays** and **creating incentives** (such as map-route trainings) for drivers to meet timelines

Key Metrics

Definition:

Onboarding for Zepto is part of **activation** as completing their first order placement is when users will begin experiencing value

To Gauge **Success of onboarding process**,
The following metrics should be tracked:

- **Onboarding Completion Rate =**
(Users completing onboarding/Total sign-ups) x 100
- **First Order Placement Rate (within a defined time frame**
for ex., 7 days of sign-up) =
(Users who placed their first order/Total new users) x 100
- **Activation Funnel Conversion Rate =**
(First Purchase/App Installs) ×100

To Gauge **Success of the product**,
The following metric should be tracked:

% of customers receiving their orders within the
promised 10-minute window while maintaining a high
customer satisfaction score =

(# of orders delivered within 10 minutes
& rated high CSAT/Total # of orders delivered) ×100

This metric captures:

- **Timely deliveries** (core to their value proposition) &
- **Customer satisfaction** (a driver of retention and loyalty)